



“There are instances where these influencers have breached ethics by faking returns (to gain more followers) or participated in ‘pump and dump’ schemes”

VIJAY CHANDOK
MD & CEO, ICICI SECURITIES



“The challenge comes when influencers start talking about regulated securities. That has to be countered but regulations should not be anti-business”

MUKUL MALIK
FINFLUENCER WITH 3.7 MILLION FOLLOWERS ON YOUTUBE



“New regulations could help prevent conflicts of interest and recommendation bias. However, it is also essential to balance regulation and innovation”

TEJAS KHODAY
CO-FOUNDER & CEO, FYERS



In a similar context, Mukul Malik, a top finfluencer who runs the YouTube channel ‘Asset Yogi’ that boasts over 3.7 million followers, says concerns related to unregistered finfluencers must be tackled with regulations, while ensuring that those are not “anti-business”.

“The whole industry is getting painted with the same brush in a negative way. Not everyone is running a pump-and-dump scheme or has bad intentions. Indicating or hinting that stocks should be purchased or sold in any manner whatsoever has to be treated as advice,” adds Malik, whose firm is registered with Sebi as a Research Analyst (RA). To that extent, market participants believe that the Sebi consultation paper, which, among other things, proposes to bar regulated intermediaries from working with unregistered influencers, is a step in the right direction.

According to a senior Sebi official, the intention is to cut the “oxygen supply”, i.e., funding, of unregistered finfluencers who are effectively doing what only a Sebi-registered investment advisor (RIA) or RA is permitted to do. “It cannot be one change or one regulation. It has to be a bunch of changes,” says the official, speaking on the condition of anonymity. “Some of them (unregistered finfluencers) might be getting funding from our own regulated entities. If you have a finfluencer who says that they trade through a specific platform, then there is a high possibility that he or she is getting an incentive of some kind. Where we see videos that have clearly misleading or fraudulent content, for instance, 98 per cent probability of making money or how do you become a *crorepati* with ₹5 lakh, which are outlandish, we will take action,” says the official.

In what would indeed be good news for the genuine finfluencers, the Indian capital markets watchdog is clear on what constitutes a potential violation. Akin to what its Australian counterpart has done, Sebi is clear that it has no problem with influencers working on investor education and awareness.

“Some videos are actually well-managed, and they do not say anything wrong. They give caveats; they do not give recommendations as such; those we will not touch,” said the Sebi official quoted above. He, however, adds: “If you give recommendations, if you make false promises, if you make misleading promises, if there are inducements to trade, then we will come after you.”

It’s now up to Sebi to ensure that the rules are structured in such a way that genuine influencers do not feel the burden of compliance while violators are not left unpunished.

Strike the right balance, as they say. **BT**

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